

Bear market The decline in the Standard & Poor's 500 index from 24 March 2000 to 10 October 2002 and from 12 October 2007 to 6 March 2009.

Board The horizontal or flat portion of a diving board pattern, often lasting from weeks to months. It occurs before the plunge.

Breakeven failure rate A percentage of the patterns that fail to rise or decline more than 5% after the breakout. *Breakeven* assumes the 5% move will cover the cost of trading (slippage, fees, commissions, and so on).

Breakout When price *closes* outside a trendline boundary or above/below the pattern's high/low, a breakout occurs. What constitutes a breakout can vary from pattern type to pattern type.

Breakout gap, breakout day gap A gap that may occur on the breakout day. Usually it is a breakaway gap, one that shows high volume after leaving a consolidation area.

Breakout price The price at which a stock breaks out of a chart pattern. Performance measures involving the breakout price use the opening price the day after the breakout. If a trading order is used (like a buy stop), a trade will execute at the higher of the buy stop or opening price (for upward breakouts) or at the lower of the limit order or opening price (downward breakouts).

Breakout volume The volume on the breakout day. The breakout day's volume is compared to the average volume over the prior 30 days (not including the breakout day).

Bull market Every date outside of the bear markets as posted by the Standard & Poor's 500 index. See *bear market* for specific time periods.

Busted pattern Chart patterns that reach the ultimate high or low less than or equal to 10% away from the breakout price before reversing and closing beyond the side opposite the breakout.

[Figure G1](#) shows an example. Price forms a triple top at ABC. It confirms as a valid chart pattern when the stock closes below the bottom of the chart pattern at D. Price bottoms the next day (having declined less than 10% below the breakout price) before reversing. Price climbs and closes above the top of the chart pattern, at E, busting